

6406532786099. ✖ (BE, C)

6406532786100. ✖ (BF, C)

Question Number : 163 Question Id : 640653829435 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

No. of sub games this game has

Options :

6406532786101. ✖ 1

6406532786102. ✖ 2

6406532786103. ✔ 3

6406532786104. ✖ 4

Sub-Section Number :

6

Sub-Section Id :

640653124036

Question Shuffling Allowed :

Yes

Question Number : 164 Question Id : 640653829436 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

A firm (player 1) is considering entering an established industry with one incumbent firm (player 2). Player 1 must choose whether to enter or to not enter the industry. If player 1 enters the industry, then player 2 can either accommodate the entry, or fight the entry with a price war.

Player 1's most preferred outcome is entering with player 2 not fighting, and his least preferred outcome is entering with player 2 fighting. Player 2's most preferred outcome is player 1 not entering, and his least preferred outcome is player 1 entering with player 2 fighting.

Model this as an extensive form game tree (choose ordinal payoffs that represent the preferences) and answer the following questions.

Strategies of Player 1:

E: Entering the Industry, N: Not entering the Industry

Strategies of Player 2:

A: Accommodate, F: Fight.

What is the subgame perfect equilibrium in this game?

Options :

6406532786105. ✖ (N, F)

6406532786106. ✔ (E, A)

6406532786107. ✖ Both (N, F) and (E, A)

6406532786108. ✖ None

Managerial Economics

Section Id :

64065359417

Section Number :	9
Section type :	Online
Mandatory or Optional :	Mandatory
Number of Questions :	12
Number of Questions to be attempted :	12
Section Marks :	25
Display Number Panel :	Yes
Section Negative Marks :	0
Group All Questions :	No
Enable Mark as Answered Mark for Review and Clear Response :	No
Section Maximum Duration :	0
Section Minimum Duration :	0
Section Time In :	Minutes
Maximum Instruction Time :	0
Sub-Section Number :	1
Sub-Section Id :	640653124037
Question Shuffling Allowed :	No

Question Number : 165 Question Id : 640653829437 Question Type : MCQ

Correct Marks : 0

Question Label : Multiple Choice Question

THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : MANAGERIAL ECONOMICS (COMPUTER BASED EXAM)"

ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?

CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.

(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE TOP FOR THE SUBJECTS REGISTERED BY YOU)

Options :

6406532786109. ✓ YES

6406532786110. ✗ NO

Sub-Section Number :	2
Sub-Section Id :	640653124038
Question Shuffling Allowed :	Yes

Question Number : 166 Question Id : 640653829438 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

For the production function $q = 4L^{1/2} + 4K$

Options :

6406532786111. ✖ Both MPL and MPK are constant
6406532786112. ✖ MPL is increasing but MPK is constant
6406532786113. ✔ MPL is decreasing and MPK is constant
6406532786114. ✖ Both MPL and MPK are decreasing

Question Number : 167 Question Id : 640653829439 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

A firm can always trade three units of labour for one unit of capital and still keep output constant. The production technology for this firm can most suitably be represented by

Options :

6406532786115. ✖ Cobb-Douglas production function
6406532786116. ✖ Leontief production function
6406532786117. ✔ Linear production function
6406532786118. ✖ None

Question Number : 168 Question Id : 640653829440 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

A firm finds that it requires exactly two full-time workers to operate each piece of machinery in the factory. The production technology for this firm can most suitably be represented by

Options :

6406532786119. ✖ Cobb-Douglas production function
6406532786120. ✔ Leontief production function
6406532786121. ✖ Linear production function
6406532786122. ✖ None

Question Number : 169 Question Id : 640653829441 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

The marginal product of labour is defined as

Options :

6406532786123. ✖ a firm's total output divided by total labour input
6406532786124. ✖ the extra output produced by employing one more unit of labour while allowing other inputs to vary
6406532786125. ✔ the extra output produced by employing one more unit of labour while holding other inputs constant
6406532786126. ✖ the extra output produced by employing one more unit of capital while holding labour input constant

Question Number : 170 Question Id : 640653829442 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

If marginal costs equal average total costs

Options :

6406532786127. ✖ average total costs are falling

6406532786128. ✖ average total costs are maximized

6406532786129. ✖ average total costs are rising

6406532786130. ✔ average total costs are minimized

Sub-Section Number :

3

Sub-Section Id :

640653124039

Question Shuffling Allowed :

Yes

Question Number : 171 Question Id : 640653829443 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

Suppose that a firm's production function is $q = 10L^{1/2}K^{1/2}$. The cost of a unit of labour is \$20 and the cost of a unit of capital is \$80. The firm is currently producing 100 units of output and has determined that the cost-minimizing quantities of labour and capital respectively are

Options :

6406532786131. ✖ 5, 20

6406532786132. ✔ 20, 5

6406532786133. ✖ 20, 10

6406532786134. ✖ 10, 20

Sub-Section Number :

4

Sub-Section Id :

640653124040

Question Shuffling Allowed :

No

Question Id : 640653829458 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Question Numbers : (172 to 173)

Question Label : Comprehension

The short-run cost function of a company is given by the equation $TC = 200 + 55q$, where TC is the total cost and q is the total quantity of output.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 172 Question Id : 640653829459 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

What is the company's fixed cost?_____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

200

Question Number : 173 Question Id : 640653829460 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

If the company produced 100 units of goods, what would be its average variable cost? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

55

Sub-Section Number : 5

Sub-Section Id : 640653124041

Question Shuffling Allowed : No

Question Id : 640653829454 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (174 to 175)

Question Label : Comprehension

Last week you purchased five large cases of Fritos for a customer who, as it turned out, did not accept delivery. You paid \$100 for these cases. You have a deal with your grocers that they will pay you \$0.25 for each dollar of returned merchandise. Just this week, you found a fraternity on campus that will buy the five cartons for \$55 (and will pick them up from your apartment, relieving you of the need to deliver them to the frat house).

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 174 Question Id : 640653829455 Question Type : SA

Correct Marks : 2

Question Label : Short Answer Question

What is the opportunity cost of filling this order (i.e., selling these cartons to the fraternity)?
_____ (in \$)

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

25

Question Number : 175 Question Id : 640653829456 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Should you sell the Fritos to the fraternity?

Options :

6406532786160. ✓ YES

6406532786161. ✗ NO

Sub-Section Number :

6

Sub-Section Id :

640653124042

Question Shuffling Allowed :

No

Question Id : 640653829448 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Question Numbers : (176 to 180)

Question Label : Comprehension

Consider two goods coconut and fish with prices $P_c = 20$ and $P_f = 10$. Robin has an income $I = 1000$ and he consumes only these two goods. With the help of the plot of his budget line taking fish on the Y-axis, answer the given subquestions.

Sub questions

Question Number : 176 Question Id : 640653829449 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

The slope of the budget line is

Options :

6406532786139. ✓ -2

6406532786140. ✗ +2

6406532786141. ✖ $-\frac{1}{2}$

6406532786142. ✖ $+\frac{1}{2}$

Question Number : 177 Question Id : 640653829450 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Intercepts on the axis are

Options :

6406532786143. ✔ 50 on X-axis and 100 on Y-axis

6406532786144. ✖ 100 on X-axis and 50 on Y-axis

6406532786145. ✖ 50 on X-axis and 20 on Y-axis

6406532786146. ✖ 20 on X-axis and 50 on Y-axis

Question Number : 178 Question Id : 640653829451 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

If keeping income unchanged, price of the coconut is halved, what will be the new slope of the budget line

Options :

6406532786147. ✖ -2

6406532786148. ✖ +1

6406532786149. ✔ -1

6406532786150. ✖ +2

Question Number : 179 Question Id : 640653829452 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

New intercepts on the axis are

Options :

6406532786151. ✖ 50 on X-axis and 50 on Y-axis

6406532786152. ✖ 100 on X-axis and 50 on Y-axis

6406532786153. ✔ 100 on X-axis and 100 on Y-axis

6406532786154. ✖ 10 on X-axis and 100 on Y-axis

Question Number : 180 Question Id : 640653829453 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

If income is halved keeping the original prices unchanged

Options :

6406532786155. ✖ Slope remains same and both intercepts are doubled

6406532786156. ✔ Slope remains same and both intercepts are halved

6406532786157. ✖ Slope changes and both intercepts are doubled

6406532786158. ✖ Slope changes and both intercepts remain same

Sub-Section Number :

7

Sub-Section Id :

640653124043

Question Shuffling Allowed :

No

Question Id : 640653829444 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Question Numbers : (181 to 183)

Question Label : Comprehension

A chair manufacturer hires its assembly-line labour for \$30 an hour and calculates that the rental cost of its machinery is \$15 per hour. Suppose that a chair can be produced using 4 hours of labour or machinery in any combination.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 181 Question Id : 640653829445 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

If the firm is currently using 3 hours of labour for each hour of machine time, is it minimizing its costs of production?

Options :

6406532786135. ✖ YES

6406532786136. ✔ NO

Question Number : 182 Question Id : 640653829446 Question Type : SA

Correct Marks : 2

Question Label : Short Answer Question

If not, what will be the optimal combination of labour and capital. $L^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes